

Program : Diploma in Computer Application and Business Management	
Course Code : 6251B	Course Title: Working Capital Management
Semester : 6	Credits: 4
Course Category: Program Elective	
Periods per week: 5 (L:4, T:1, P:0)	Periods per semester: 75

Course Objectives:

- To provide an insight into the fundamental concepts of Working Capital Management-cash management and receivables management, Inventory management and financial analysis.

Course Prerequisites:

Topic	Course code	Course name	Semester
Entire course		Financial Management	3

Course Outcomes:

On completion of the course, students will be able to:

CO _n	Description	Duration (Hours)	Cognitive Level
CO1	Identify the basic concepts of Working capital management	18	Applying
CO2	Use the concepts of cash management and receivables management.	12	Applying
CO3	Examine the concepts of Inventory Management.	18	Applying
CO4	Apply the tools of financial analysis.	25	Applying
	Series Exam	2	

CO – PO Mapping:

Course Outcomes	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1	3						
CO2		3					
CO3						3	
CO4			3				

3-Strongly mapped, 2-Moderately mapped, 1-Weakly mapped

Course Outline:

Module Outcomes	Description	Duration (Hours)	Cognitive Level
CO1	Identify the basic concepts of Working capital management.		
M1.01	State the meaning of working capital.	1	Understanding
M1.02	Describe the concept of working capital.	1	Understanding
M1.03	Identify the constituents of current assets and current liabilities.	1	Understanding
M1.04	Explain the kinds of working capital.	1	Understanding
M1.05	Understand the need of working capital.	1	Understanding
M1.06	State the advantages of adequate working capital.	1	Understanding
M1.07	Explain operating cycle.	2	Understanding
M1.08	Explain the factors determining working capital.	2	Applying
M1.09	Describe the approaches for determining working capital financing mix.	2	Understanding
M1.10	State the financing of permanent working capital.	1	Understanding
M1.11	State the financing of temporary working capital.	1	Understanding
M1.12	Explain the estimation of working capital requirements. (workout the problems)	4	Applying
Contents: Working Capital - meaning, concept, kinds and needs of working capital - constituents of current assets and current liabilities - advantages of adequate working capital - factors determining working capital - operating cycle - approaches for determining working capital financing mix - financing of permanent and temporary working capital - estimation of working capital requirements. (Solve problems).			
CO2	Use the concepts of cash management and receivables management.		
M2.01	State the meaning of cash management.	1	Understanding

M2.02	State the nature of cash.	1	Understanding
M2.03	Explain the motives for holding cash.	1	Understanding
M2.04	Describe the methods of accelerating cash inflows.	2	Applying
M2.05	Describe the methods of slowing cash outflows.	2	Applying
M2.06	State the meaning and definition of receivables management	1	Understanding
M2.07	State the costs of maintaining receivables.	1	Understanding
M2.08	Explain the factors influencing the size of receivables.	1	Understanding
M2.09	State the factors involving in forecasting the receivables.	2	Understanding
	Series Test-I	1	

Contents:

Cash management - meaning - nature of cash-motives for holding cash - methods of accelerating cash inflows - methods of slowing cash outflows - Receivables management - meaning and definition - costs of maintaining receivables - factors influencing the size of receivables - factors involving in forecasting the receivables.

CO3	Examine the concepts of Inventory Management.		
M3.01	State the meaning of inventory management.	1	Understanding
M3.02	State the nature of inventory.	1	Understanding
M3.03	Explain the objectives of inventory management.	2	Understanding
M3.04	Explain the motives for holding inventories.	2	Understanding
M3.05	Explain the risk and costs of holding inventories.	2	Understanding
M3.06	Describe the tools and techniques of inventory management.	3	Understanding
M3.07	Explain the determination of stock levels- minimum level, re-ordering level, maximum level, danger level, average stock level. (solve simple problems)	4	Applying
M3.08	Explain economic order quantity (EOQ). (solve problems)	3	Applying

Contents:

Inventory management - meaning, objectives - nature of inventory - motives for holding inventory - risk and costs of holding inventories - tools and techniques of inventory management - determination of stock levels (solve simple problems) - Economic Order Quantity (solve problems).

CO4	Apply the tools of financial analysis.		
M4.01	State the meaning of financial analysis.	1	Understanding
M4.02	Explain the types of financial analysis.	1	Understanding
M4.03	State the limitations of financial analysis.	1	Understanding
M4.04	List out the methods of financial analysis.	2	Understanding
M4.05	State the meaning of Ratio analysis.	1	Understanding
M4.06	Explain the uses of ratio analysis.	1	Understanding
M4.07	Explain the limitations of ratio analysis.	1	Understanding
M4.08	Explain classification of ratios.	1	Understanding
M4.09	Explain Liquidity ratios.	1	Understanding
M4.10	Explain Activity ratios.	1	Understanding
M4.11	Explain the calculation of current ratio, quick ratio, absolute liquid ratio, inventory turnover ratio, debtor's turnover ratio, creditor's turnover ratio, working capital turnover ratio. (solve problems)	4	Applying
M4.12	State the meaning and concept of funds, flow of funds.	1	Understanding
M4.13	State the meaning of fund flow statement.	1	Understanding
M4.14	Explain advantages and limitations of fund flow statement.	1	Understanding
M4.15	Identify the difference between fund flow statement and Balance sheet.	1	Understanding
M4.16	Explain preparation of statement of changes in working capital. (solve problems)	2	Applying
M4.17	Explain sources and application of funds.	1	Understanding
M4.18	Depreciation as a source of funds.	1	Understanding
M4.19	Explain the preparation of statement of sources and application of funds. (solve problems)	2	Applying
	Series Test-II	1	

Contents:

Financial Analysis - meaning, types, limitations, methods of financial analysis-Ratio analysis - meaning - uses, limitations-classification of ratios - Liquidity ratios - Activity ratios-solve problems - Fund - Flow of funds-meaning and concept - Fund flow statement - advantages and limitations - difference between fund flow statement and balance sheet - statement of changes in working capital - sources and application of funds - depreciation as a source of funds - statement of sources and application of funds - solve problems.

Text / Reference:

T/R	Book Title/Author
R1	M. Y Khan and S.P Jain, Financial management , Vikas Publishing House ltd, New Delhi
R2	R.K Sharma, Shashi K Gupta, Management Accounting , Kalyani Publishers.
R3	I M.Pandey, Financial Management , Vikas Publications, 9 th edition, 2006
R4	Bhalla V K, Working Capital Management , S.Chand publishing, 2014

Online Resources:

Sl.No	Website Link
1	www.accountingformanagement.org
2	www.accountancyknowledge.com
3	https://www.yourarticlelibrary.com/financial-management/working-capital/working-capital-meaning-concept-nature-explained/44081
4	https://efinancemanagement.com
5	http://14.139.206.50:8080/jspui/bitstream/1/4336/1/Working%20capital%20management.pdf